

Guideline I: Moderate Biases in Less Wealthy Clients; Adapt to Biases in Wealthier Clients

Guideline I. The decision to moderate or adapt to a client's behavioral biases during the asset allocation process depends fundamentally on the client's level of wealth. Specifically, the wealthier the client, the more the practitioner should adapt to the client's behavioral biases. The less wealthy, the more the practitioner should moderate a client's biases.

Rationale. Clients who outlive their assets constitute a far graver investment failure than do clients who are unable to accumulate wealth. The likelihood of a client's outliving his or her assets is a function of the level of wealth. If a bias is likely to endanger a client's standard of living, moderating is an appropriate course of action. If a bias will only jeopardize the client's standard of living if a highly unlikely event occurs, adapting may be more appropriate. However, the potential impact of low-probability, high-impact events should be discussed with the client.

Guideline II: Moderate Cognitive Biases; Adapt to Emotional Biases

Guideline II. The decision to moderate or adapt to a client's behavioral biases during the asset allocation process depends fundamentally on the type of behavioral bias the client exhibits. Specifically, clients exhibiting cognitive errors should be moderated, while those exhibiting emotional biases should be adapted to.

Rationale. Because cognitive errors stem from faulty reasoning, better information and advice can often correct these biases. Conversely, emotional biases originate from feelings or intuition rather than from conscious reasoning, and so are more difficult to correct.

Regarding the determination of "high" and "low" wealth levels: naturally, the determination of high wealth level and low wealth level is a subjective one that must be determined by the advisor in concert with the client. In this context, wealth is determined in relation to lifestyle, and not just based on level of assets. Some people have high levels of assets but also have an extravagant financial lifestyle to match, implying a "low" level of wealth; in other words, some people have a lot of assets but also spend accordingly. This is related to standard of living risk. Standard of living risk (SLR) is the risk that the current or a specified acceptable lifestyle may not be sustainable. For example, an individual with modest assets and a modest